Hiệp Hội Doanh Nghiệp Nhật Bản tại Việt Nam
Phòng 605, Tòa nhà Mặt Trời Sông Hồng, 23 Phan Chu Trinh,
Hoàn Kiếm, Hà Nội
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

The Japanese Chamber of Commerce & Industry in Vietnam
Room 605, Sun Red River Bldg., 23 Phan Chu Trinh St.,
Hoan Kiem Dist., Hanoi
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY IN VIETNAM
No.: 18 /2018JCCI

THE SOCIALIST REPUBLIC OF VIETNAM
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Ref: ***Proposal related to the Natural Disaster Prevention Fund***

Hanoi, August 10, 2018

To : **- The Vietnam Disaster management Authority, MARD**

- The Government Office

- The Finance & Budget Committee of the National Assembly

- The Chamber of Commerce & Industry Vietnam

Firstly, JCCI would like to send our most sincere thanks to the Vietnam Disaster management Authority for welcoming us & listening to our difficulties in collecting, contributing to the Natural Disaster Prevention Fund according to the Government's Decree No. 94/2014/ND-CP.

As our discussion, we would like to send you the list of our matters, difficulties as below. We hope the Government and related Authorities to reform the Decree No. 94/2014 as well as have clear instruction for us to implement fairly and effectively.

No.	Difficulties, matters	Proposal
1	Enterprises still haven't had any method to collect fund from employees that is in accordance with Law, effective and fair for all employees as well as does not cause any reaction from employees. Because: + According to the Labor Law Code 2012, we cannot deduct from the wage of employees to contribute to the Fund. + The direct collection from employees by cash is also impossible, because we don't have human resource to collect each one while there are a large number of employees. The management of so much cash in enterprise will be risky, complex & dangerous. + The understanding & psychology of employees is not same, some shall not comply. We also cannot force them to pay. That some pay & some do not will make employees compare mutually, then easily cause strike & affect to our production & business activities.	The contribution of employees shall be collected by the local commune of residence instead of by enterprise as current.
2	+ With the large number of employees, we cannot issue receipts, write, sign and seal for each one as an evidence of contribution. If they change other work, they will not have the evidence that they have paid fund at the previous company. + Moreover, if we collect from employees for the Fund, that whether we can be supported expenses for collectors as well as administrative expenses or not hasn't been stipulated in the Decree yet.	
3	Towards employees have already paid fund at their local commune of residence (because they haven't known the regulation that they have to pay at company), the collection at enterprises causes them to pay double times, it is injustice and unequal for employees. If enterprises do not collect from these objects, it is also	

	unfair because of the big difference (about 10 times) between contribution level at residence and at company.	
4	+ The fund collection once a year before May 30th will not ensure the justice for all labors. The labor working for only 1 month then resigning has to pay fund while the labor joining enterprise after the time of contribution has longer working time in a year but does not need to pay. + In case the labors have very short working time at each company, they have not paid fund at any company yet. We cannot manage this. + We also cannot collect from labors who are on maternity leave, long-term holiday, unpaid holiday because there is only once time of contribution a year. + Due to the daily labor fluctuation, enterprises cannot collect from resigned employees at the time of getting the notice of fund payment, after completing the list of payment, while implementing the collection,…	
5	The Government's Decree 104/2017/ND-CP regulated in case the employees violate the contribution to the Fund, they shall be punished. However, we cannot penalize our employees and we are unable to be the objects of penalty. Because: + Our duty is manufacturing and business. The company management and operation is very difficult, only a small mistake can lead to unexpected matter. The regulation that employer are responsible for collecting fund from employees and impose penalty increases liability as well as pressure on enterprises. While we have made great efforts in propagandizing and collecting fund from employees. + The recruitment and labor retention in enterprises is very difficult, so we cannot force our employees to pay fund as well as apply any remedies to them if they do not agree to pay.	
6	The verification of employee's curriculum vitae to list up exemption objects, the separation of employees who have already paid (at the old workplace) and employees who have not yet paid is very complex and time-consuming.	
7	+ The contribution level applied to labors in enterprises is very high, which creates more pressure and difficulties for labors because they had to pay tax and other funds. + The regulation based on the salary level to determine the level of contribution of labors in non-state enterprises, labors in state office and freelancers shall not ensure the equality for all citizens while the social responsibility is equal for all citizens & when natural disaster occurs, all will be affected the same damage & get the same support, the more contributed person also cannot get more support.	Apply the same contribution level for all citizens.
8	+ The Government's Decree No. 94/2014/ND-CP regulated the contribution level of enterprise based on the total value of current assets in Vietnam according to annual financial statements. However the definition "total value of current assets" is not mentioned clearly in the Decree as the total value of tangible fixed assets or total value of intangible fixed assets, cash, cash equivalents, short-term and long-term receivables, inventories, short-term and long-term prepayments,… + Towards enterprises having branches in other provinces, because the annual financial statement does not separate assets of headquarter and branches, enterprise do not know to pay fund to headquarter's province or branch's province. + The contribution of employees working at branches located in other provinces hasn't been regulated to pay to headquarter's province or branch's province.	Having clear regulation in word.
9	The Decree stipulated that enterprise has responsibility to collect fund from labors but has not given clear instructions how to do for enterprises to follow. This	

	increases more responsibility and make difficulties for enterprises to collect fund from employees.	
10	Towards labors who had been unemployed for over 6 months in a year before joining company, which office shall certify for them in order that they can be legible for exemption of contribution.	
11	Whether labors who are in internship, training period (without official labor contract) pay the same level contribution as others or not.	
12	The unclear purpose of spending fund makes enterprises & labors hesitate to contribute fund. That some fake damage reports were made to receive support from Fund, the support from Fund is not transferred to citizens, recently the proposal to buy raincoat with the price 1 million VND/set of Thai Binh provincial Natural Disaster Prevention Fund got many negative opinions, many other funds have a lot of budget but it's difficult to distribute due to the complicated procedures,…	

As the Japanese Chamber of Commerce and Industry in Vietnam, we understand the meaning of the Fund. However, with the abovementioned difficulties and matters, we propose the Government and other Offices to amend the Decree No. 94/2014/ND-CP as soon as possible, as well as provide specific and detailed guidance for enterprises to ensure the implementing the collection, contribution timely, effectively and fairly.

Finally, JCCI will make effort to become the connection for the soci-economic development of Vietnam as well as Japanese enterprise's development. JCCI will always represent for Japanese enterprises in Vietnam, collect the opinions of enterprise member and give proposal to contribute more to the development of Vietnam. Therefore, we look forward to continuously receive the support from the Government and other Offices.

Thank you very much!

Receiver:

- *As above*
- *Hanoi People's Committee*
- *Haiphong People's Committee*
- *Bac Ninh provincial People's Committee*
- *Hung Yen provincial People's Committee*
- *Hai Duong provincial People's Committee*
- *Bac Ninh provincial Department of Taxation*
- *Ministry of Investment and Planning – Bureau of Foreign Investment*
- *Japanese Ambassador in Vietnam*
- *JCCI in Ho Chi Minh city*
- *JCCI in Da Nang*

On behalf of the Japanese Chamber of Commerce and Industry in Vietnam

Chairman

KOJI ITO

for 小村篤人